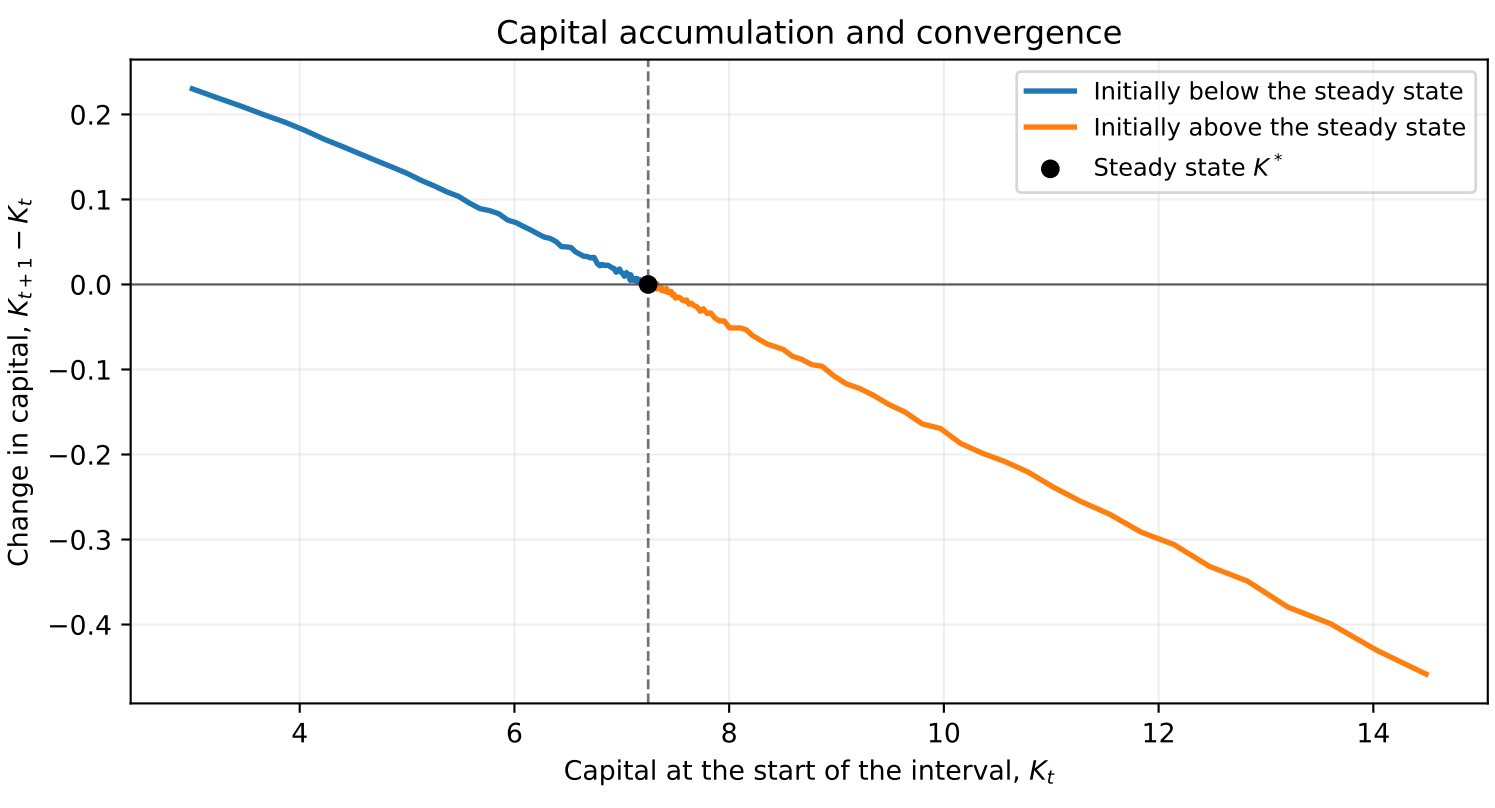
Capital accumulation and convergence
Initially below the steady state
Initially above the steady state
Steady state K^*
Change in capital, $K_{t+1} - K_t$
Capital at the start of the interval, K_t
0.2
0.1
0.0
−0.1
−0.2
−0.3
−0.4
4
6
8
10
12
14